Territory
Portugal

Overview
Corporate
Individual
Significant developments
Taxes on personal income
Residence
Other taxes
Income determination
Deductions
Foreign tax relief and tax treaties
Other tax credits and incentives
Tax administration
Other issues

Portugal

Individual - Taxes on personal income

Last reviewed - 03 October 2026

Residents in Portugal for tax purposes are taxed on their worldwide income at progressive rates varying from 12.50% to 48% for 2026.

Non-residents are liable to income tax only on Portuguese-source income, which includes not only that portion of remuneration that can be allocated to the activity carried out in Portugal but also remuneration that is paid/borne by a Portuguese company or permanent establishment (PE).

Non-residents are taxed at a flat rate of 25% on their taxable remuneration (e.g. employment, self-employment, and pension income) in 2026.

Resident income tax rates for 2026

Taxable income (EUR)		Tax rate (%)	Deductible amount (EUR)
Over	Not over		
0	8,342	12.50	0
8,342	12,587	15.70	266.94
12,587	17,838	21.20	959.26
17,838	23,089	24.10	1,476.45
23,089	29,397	31.10	3,092.77
29,397	43,090	34.90	4,209.94
43,090	46,566	43.10	7,743.27
46,566	86,634	44.60	8,441.48
86,634		48.00	11,387.17

For the purpose of applying the tax rate, the taxable income is divided by two if the taxpayers are married and not judicially separated, as well as in the case of *de facto* marriages, whatever the circumstances, should they opt for joint taxation.

Special rates apply to capital gains and investment income.

Additional solidarity rate

In 2026, an additional solidarity rate, which varies between 2.5% and 5%, applies to taxpayers with a taxable income exceeding EUR 80,000 and EUR 250,000, respectively.

Subsistence level

Portuguese tax legislation includes a specific rule that ensures individuals who primarily receive employment income, business and professional income, and/or pension income are guaranteed a minimum level of net income (subsistence level).

Individual - Significant developments
Individual - Residence

Portugal contacts



Rosa Areias
Tax Lead Partner, PwC Portugal
+351 22 543 3197
Email



Bruno Andrade Alves
Partner, Individual Taxation, PwC Portugal
+351 213 599 618
Email



Hugo Salgueirinho Maia
Partner, Indirect Taxes, PwC Portugal
+351 22 543 3277
Email

PwC Portugal
Tax services and publications

Global Tax Talk
On-demand video series providing global tax policy news quickly and concisely

© 2017 - 2026 PwC. All rights reserved. PwC refers to the PwC network and/or one or more of its member firms, each of which is a separate legal entity. Please see www.pwc.com/structure for further details.

This site uses cookies to collect information about your browsing activities in order to provide you with more relevant content and promotional materials, and help us understand your interests and enhance the site. By continuing to browse this site you agree to the use of cookies. Visit our **cookie policy** to learn more.

I understand